

The additional compliance costs, plus the requirements to strengthen internal IT capabilities to capture any undesirable activities of clients made the private banking and wealth management business for the smaller banks and units unprofitable. “Red flags” and improved KYC (Know Your Customer) profiles added tremendous costs to the banks. Many banks found it futile to continuously appease the insatiable regulators.

The prognosis by the author in his book *Private Banking & Wealth Management in Asia – An Insider Perspective* (2014, Warrior Books) that there would be only two categories of private banking and wealth management banks which would survive the current and future environment is unfolding. The private banking and wealth management businesses of Credit Agricole, ING, Societe Generale, Barclays, Coutts and ABN AMRO have been sold. A few more in the middle-tier will become antiquity in the near future.

Eventually, the two types of private banking and

wealth management banks that can ride out the current storm are the mega global banks such as UBS, Credit Suisse, Citibank and JP Morgan; and the boutique or “pure-play” banks such as Pictet, LGT, EFG and Union Bancaire Privee.

This scenario will prevail until the pendulum of regulatory bearings moves from extreme tightness to the pivotal center. But alas, the new CRS (Common Reporting System) signed by Hong Kong, Singapore, China and most Southeast Asian countries will come into effect in 2018. This would cast the industry into another impasse, where all the banks and financial institutions are required to file client-sensitive data to the CRS. This database would be shared internationally to prevent money laundering activities and any undesirable movements of funds. The final ramifications are still unknown.

Is it worthwhile, then, to remain in the private banking and wealth management business or call it a day? Does the industry still have a future?

額外的法規審查成本，以及強化監察客戶不當行為的內部科技所引致的支出，均令小型銀行以及部機構的私人銀行與財富管理業務變得無利可圖。風險警示及「認識你的客戶」資料系統，令銀行的成本激增，以至不少銀行認為，不斷滿足監管機構日新月異的要求，實在徒勞無功。

筆者在《亞洲私人銀行與財富管理——內行人觀點》（*Private Banking & Wealth Management in Asia – An Insider Perspective*）（2014年，Warrior Books出版）一書中，預期只有兩類私人銀行與財富管理機構能在當前以及未來的環境下生存。這預測正逐漸實現——法國農業信貸銀行、ING集團、興業銀行、巴克萊銀行、Coutts銀行以及荷蘭銀行的私人銀行與財富管理業務，均已被出售，而另外數個中型銀行的相關部門，亦快將成為歷史。

最後，兩類能安然渡過當前風暴的私人銀行與財富管理機構，將是全球性大型銀行如瑞士銀行、瑞士信貸、花旗銀行和摩根大通等，以及如Pictet、LGT、EFG及Union Bancaire Privée等小型精品或「單一業務」機構。

在監管的发展趨勢從矯枉過正回歸至正常力度前，此情況將會持續。然而，香港、新加坡、中國以及大部分東南亞國家簽署的全新共同申報準則（Common Reporting System），將於2018年生效。根據系統要求，所有銀行及金融機構均須呈交客戶的敏感資料。這將令業界陷入另一個僵局。此數據庫是國際共享的，以防止洗黑錢活動及其它不當資金流動。其最終結果為何，現在還不得而知。

那麼，我們是否還值得繼續私人銀行和財富管理的業務？還是應該打退堂鼓？這個行業是否還有未來？